Prosci
PEOPLE. CHANGE. RESULTS.

Fundamentals of Change Management Workshop

1

Workshop Objectives

Project benefits depend on people changing how they do their work. Success requires managing the 'people side' of change.

You will:

Define
Change management

Understand
The value of change management

Apply
The Five Tenets of Change Management to your initiative

Create
A commitment to action plan

© Prosci. All Rights Reserved.
Prosci 2

2

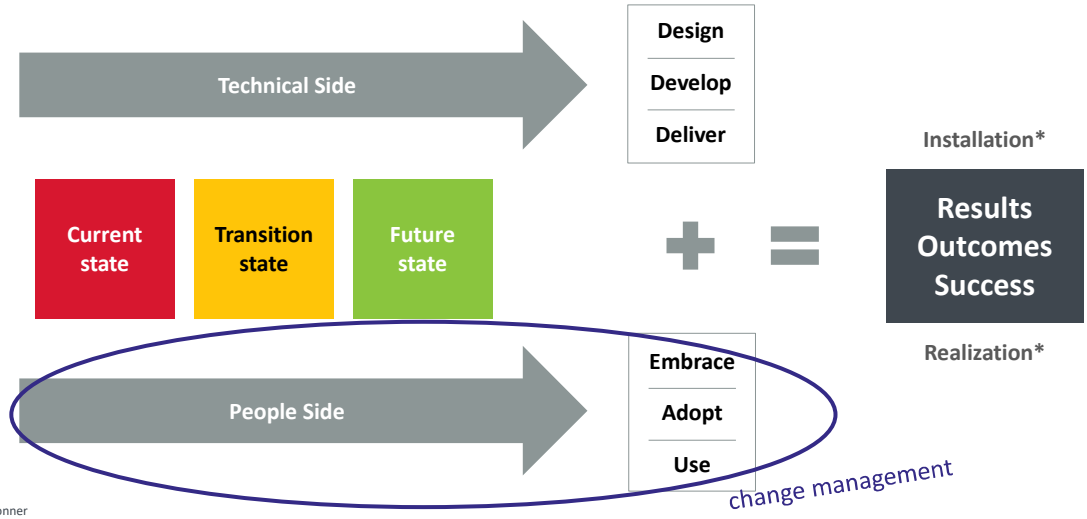
Change challenge

- Only about 25% of organisations achieve desired results with their changes and 20% of projects stay on time and budget.
- More than 80% of organisations lack structured approach to change management

Based on our research with leaders from 110 Estonian leading organisations from different industries

3

Successful Change Requires Both the Technical and People Sides



* Daryl Conner

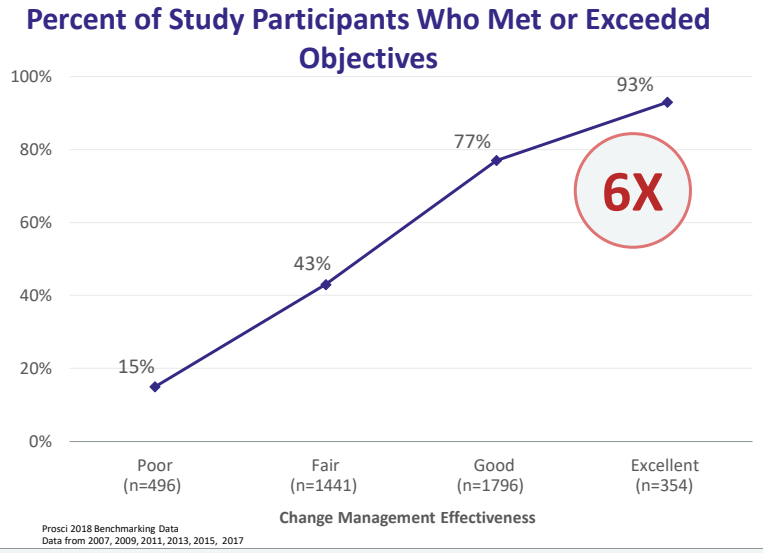
© Prosci. All Rights Reserved.

Prosci 4

4

Managing the people side of change and achieving project results

The ability to successfully deliver **project objectives** is directly impacted by how effectively we **manage the people side of change**



© Prosci. All Rights Reserved.

Prosci 5

5

Prosci Five Tenets of Change Management

1. We change for a reason.
2. Organizational change requires individual change.
3. Organizational outcomes are the collective result of individual change.
4. Change management is an enabling framework for managing the people side of change.
5. We apply change management to realize the benefits and desired outcomes of change.

© Prosci. All Rights Reserved.

Prosci 6

6

What is change?

A movement out of

Through

To ultimately reach

Implementing an ERP

Documenting and optimizing business processes

Installing Electronic Medical Records

Move to a new physical location

© Prosci. All Rights Reserved.

The reasons for change

Internal/External + Triggers/Goals

Triggers

Strategic plans
Internal performance
Continuous improvement
Demands to do more with less

Market and economic shifts
Customer demands
Competitive threats
New technologies
Regulation/legislation

Internal — **External**

Product innovation
Revenues higher
Errors fewer

Market share larger
Customers more satisfied
Risk exposure less

Goals

© Prosci. All Rights Reserved.

Prosci Five Tenets of Change Management

1. We change for a reason.
2. Organizational change requires individual change.
3. Organizational outcomes are the collective result of individual change.
4. Change management is an enabling framework for managing the people side of change.
5. We apply change management to realize the benefits and desired outcomes of change.

© Prosci. All Rights Reserved.

9

We Tend to Focus on Change at the Organizational Level

Implementing an ERP

Launching new product

Documenting and optimizing business processes

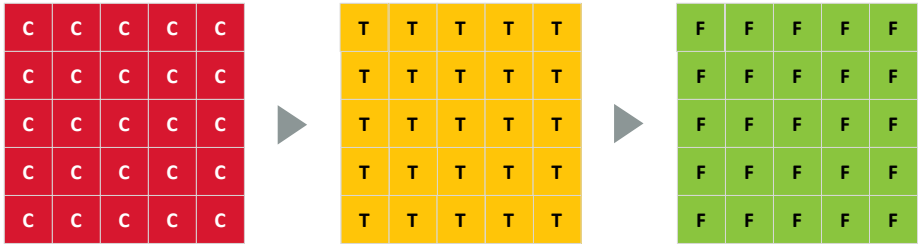
Move to a new physical location

Future

© Prosci. All Rights Reserved.

10

The True Unit of Change is the Individual



© Prosci. All Rights Reserved.

11

Ten Aspects of a Person's Job Potentially Impacted

© Prosci. All Rights Reserved.

12

10 Aspects of Change Impact

Describes the way a person or group may be impacted by change. Can be used to define what is changing for a person or group and assess the degree of impact.

Processes
The actions or steps taken to achieve a defined end or outcome.

Example: steps in the client engagement process and actions taken to capture data in a cloud-based CRM system.

Systems
A combination of people and automated applications organized to meet a set of objectives.

Example: the introduction of a new cloud-based CRM solution to manage and analyze client interactions and data throughout the customer lifecycle.

Tools
An item or implement used for a specific purpose; can be a physical object such as a mechanical tool or a technical object such as a web authoring tool or software program.

Example: a conversion tool to move data from one CRM solution to another one mapping data as needed.

Job Roles
A description of what a person does including competencies essential to performing well in that job capacity.

Example: the client services role responsible for engaging directly with clients.

Critical Behaviors
Vital or essential response of an individual or group to an action, environment, person or stimulus.

Example: the actions of a client services associate based on client needs expressed including engagement with other team members to collaborate on solutions.

Mindset/Attitudes/Beliefs
A mental inclination, disposition or frame of mind reflected in behaviors.

Example: the transition from a transactional mode of financial services engagement to one built on relationships with the mindset of improving client retention and advocacy.

Reporting Structure
The authority relationships in a company or organization; who reports to whom.

Example: the move from regional sales teams to a global client services team with a different executive leader.

Performance Reviews
The process and indicators of how performance is measured and assessed relative to objectives.

Example: the introduction of specific client retention and advocacy objectives for client services associates.

Compensation
The amount of the monetary and non-monetary pay provided in return for work performed.

Example: the commission structure and bonus plan for client services associates.

Location
A physical geographical place that provides facilities for a stated purpose.

Example: the consolidation of all client services associates to one floor of the building instead of three separate locations by region.

© Prosci. All Rights Reserved.

13

Prosci Five Tenets of Change Management

1 We change for a reason.

2 Organizational change requires individual change.

3 Organizational outcomes are the collective result of individual change.

4 Change management is an enabling framework for managing the people side of change.

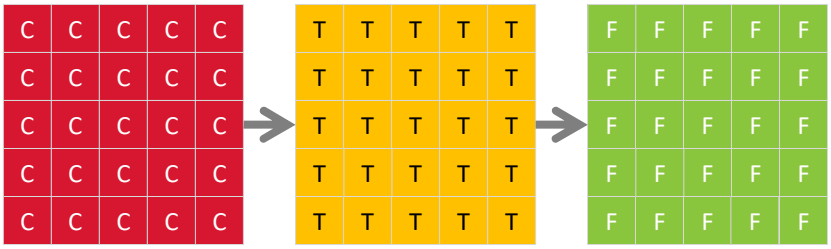
5 We apply change management to realize the benefits and desired outcomes of change.

© Prosci. All Rights Reserved.

14

An organizational move from the current to the future

Ultimately requires individuals to move
from their own current to their own future



© Prosci. All Rights Reserved.

15

3 People Side Factors Determine/Constrain Results

Speed of Adoption

How **quickly** are people up and running on the new systems, processes and job roles?

Ultimate Utilization

How **many** employees (of the total population) are demonstrating "buy-in" and are using the new solution?

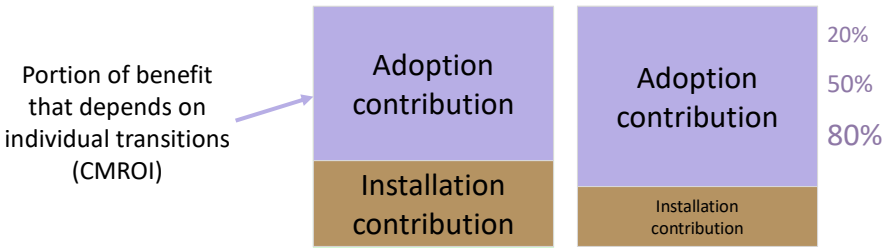
Proficiency

How **well** are individuals performing compared to the level expected in the design of the change?

© Prosci. All Rights Reserved.

16

How much of our expected results and outcomes depend on adoption and usage?



Adoption Contribution = People Dependency of ROI

© Prosci. All Rights Reserved.

17

Prosci Five Tenets of Change Management

1. We change for a reason.
2. Organizational change requires individual change.
3. Organizational outcomes are the collective result of individual change.
4. Change management is an enabling framework for managing the people side of change.
5. We apply change management to realize the benefits and desired outcomes of change.

© Prosci. All Rights Reserved.

18

M	T	W	R	F

An email on Monday

for training on Tuesday

for "go live" on Wednesday

is NOT the way to prepare and equip individuals to successfully change

© Prosci. All Rights Reserved.

Prosci 19

19

Prosci® ADKAR® Model – a tool to drive adoption

20

Awareness

Change begins with understanding why

What is nature of change?

Why? Why now?

What if we don't?

Factors that influence Awareness of the need for change:

- ❑ Your view of the current state
- ❑ How you perceive the problem
- ❑ The credibility of the sender

NOT – that the change is coming

IS – of the need for the change

© Prosci. All Rights Reserved.

Prosci 21

21

Desire

Change involves personal decisions

WIIFM

Personal motivators

Organizational motivators

Factors that influence Desire to participate and support the change:

- ❑ What's in it for me
- ❑ Organizational context
- ❑ Your individual situation
- ❑ What motivates you

Same change, different Desire

© Prosci. All Rights Reserved.

Prosci 22

22

Knowledge

Change requires knowing how to

Need to know *during*

Need to know *after*

After A & D

Factors that influence Knowledge on how to change:

- ❑ Your current knowledge base
- ❑ Your learning style and capability
- ❑ Resources available

"Send them to training!"
Is the unfortunate default

Necessary, but not sufficient.

© Prosci. All Rights Reserved.

Prosci 23

23

Ability

Change requires action in the right direction

K-A Gap

Barriers/Capacity

Practice/Coaching

Factors that influence Ability to implement new skills and behaviors:

- ❑ Psychological or physical capabilities/blocks
- ❑ The force of habit
- ❑ Availability of time and resources

Knowledge ≠ Ability

K – A

K —— A

K ———— A

K ———————— A

© Prosci. All Rights Reserved.

Prosci 24

24

Reinforcement

Change must be reinforced to be sustained

Mechanisms

Measurement

Sustainment

Factors that influence Reinforcement to sustain the change:

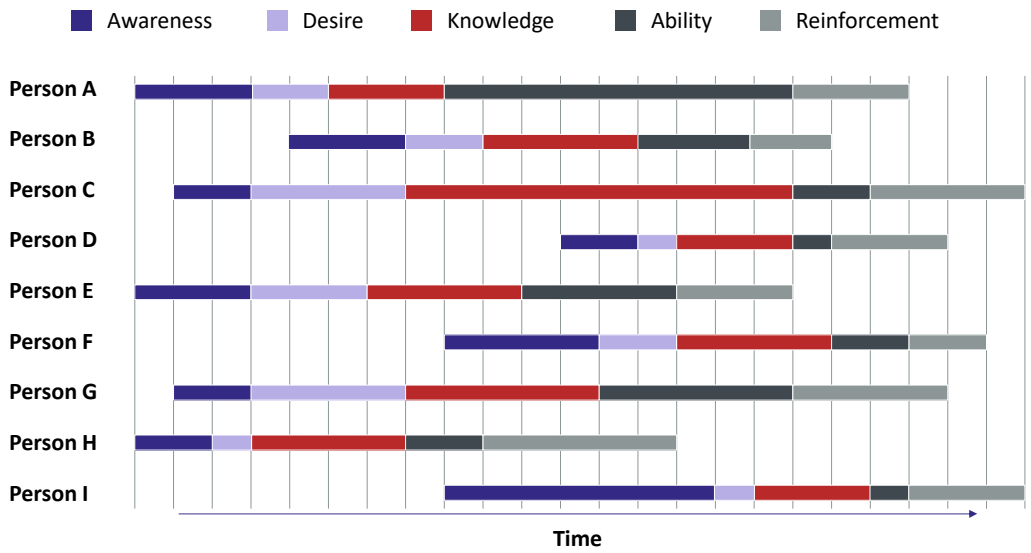
- ❑ Accountability
- ❑ Absence of negative consequences
- ❑ Recognition of progress

Natural
Physical → revert back
Psychological

© Prosci. All Rights Reserved.

25

Not Everyone Changes at the Same Pace



© Prosci. All Rights Reserved.

26

Prosci® ADKAR® Model Foundation

When you create:	You hear:
(A) **Awareness**	"I understand why…"
(D) **Desire**	"I have decided to…"
(K) **Knowledge**	"I know how to…"
(A) **Ability**	"I am able to…"
(R) **Reinforcement**	"I will continue to…"

© Prosci. All Rights Reserved.

Prosci 27

27

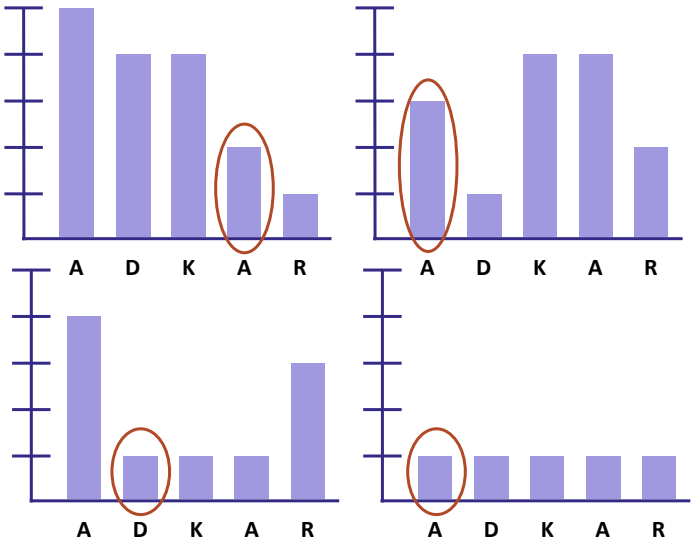
Defined as the first ADKAR element that is insufficient and impedes change progress.

The *barrier point* tells us where to focus our attention in order to make progress.

It can be very frustrating for people, and ineffective for the initiative, if our responses and adjustments are focused on the wrong ADKAR element.

© Prosci. All Rights Reserved.

ADKAR Barrier Point



A score of "3" or feeling "neutral" is a barrier.

Prosci 28

28

Action Steps for Each ADKAR Building Block

A	To Build **Awareness**	• Effective and targeted communications • Leaders sharing the why and the vision • Ready access to information
D	To Create **Desire**	• Leaders demonstrating their commitment • Managers advocating the change • Employee participation and involvement
K	To Develop **Knowledge**	• Effective training with the proper context • Education for, during, and after the change • Job aides and real-life application
A	To Foster **Ability**	• Coaching by managers • Hands-on exercises, practice and time • Elimination of any potential barriers
R	To **Reinforce** Change	• Celebrate successes individually and as a group • Rewards and recognition that are meaningful • Feedback on performance and accountability

© Prosci. All Rights Reserved.

Prosci 29

29

Individual Change Management

Practical uses of the ADKAR Model

- Making sense of change
- Guiding change management plans
- Measuring progress
- Diagnosing gaps
- Developing corrective actions
- Enabling managers and supervisors

© Prosci. All Rights Reserved.

Prosci 30

30

Tenet 4: Change Management

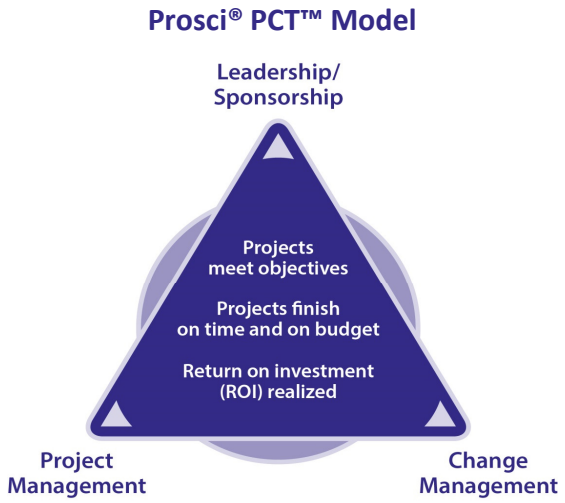
ADKAR Individual change	PCT Project health	Top 7 Success Contributors
3-Phase CM Process	Roles Who does what	Resistance Proactive/Reactive

© Prosci. All Rights Reserved.

Prosci 31

31

Project Change Triangle (PCT)



© Prosci. All Rights Reserved.

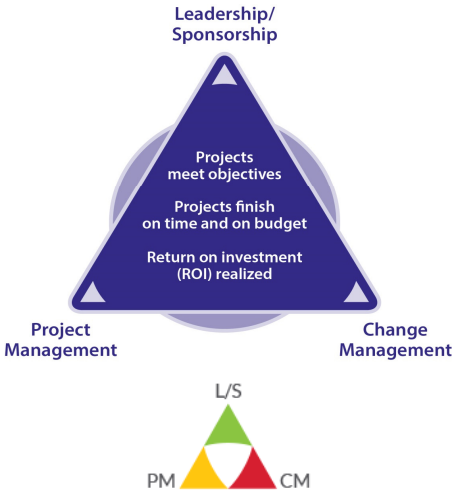
Prosci 32

32

PCT Model Applications

Conducting	PCT Assessments
Evaluating	Project Health
Identifying	Risk Factors
Driving	Next Steps
Tracking	Progress
Creating	a Shared Vision
Examining	the Portfolio

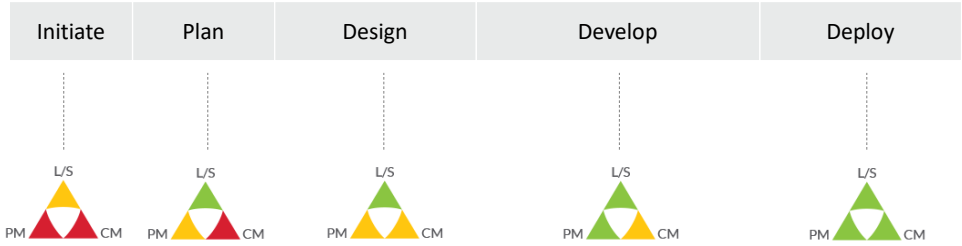
Prosci® PCT™ Model



© Prosci. All Rights Reserved.

33

Tracking Progress with the PCT Model



ASSESSMENT NAME	DATE CREATED	L/S	PM	CM
Initiate	Month 1	21	17	12
Plan	Month 3	26	21	18
Design	Month 4	27	23	21
Develop	Month 6	28	26	24
Deploy	Month 9	29	27	26

© Prosci. All Rights Reserved.

34

Tenet 4: Change Management

ADKAR
Individual change

PCT
Project health

Top 7
Success Contributors

3-Phase
CM Process

Roles
Who does what

Resistance
Proactive/Reactive

© Prosci. All Rights Reserved.
Prosci 35

35

Top Contributors to Success

GOAL:

Drive adoption and usage to deliver expected results and outcomes

- Sponsorship
- Communication
- Manager Engagement
- Employee Engagement
- Approach
- Resources
- Integration with PM

© Prosci. All Rights Reserved.
Prosci 36

36

Tenet 4: Change Management

ADKAR Individual change	PCT Project health	Top 7 Success Contributors
3-Phase CM Process	Roles Who does what	Resistance Proactive/Reactive

© Prosci. All Rights Reserved.

Prosci 37

37

Prosci® 3 - Phase Change Management Process

Phase 1 – Preparing for Change
- Define your change management strategy
- Prepare your change management team
- Develop your sponsorship model

Phase 2 – Managing Change
- Develop change management plans
- Take action and implement plans

Phase 3 – Reinforcing Change
- Collect and analyze feedback
- Diagnose gaps and manage resistance
- Implement corrective actions and celebrate successes

A holistic, research-based, tool-rich, structured approach

Develop a customized and scaled approach
- Readiness assessments
- Risk evaluation
- Impact Index
- Special tactics
- Sponsor assessment diagram
- Team preparation

Create deliverables and plans to support ADKAR
- Communications plan
- Sponsor roadmap
- Coaching plan
- Training plan
- Resistance management plan

Ensure that the change sticks
- Feedback collection
- Compliance audits
- Gap identification
- Corrective actions
- Success celebrations
- Measurement

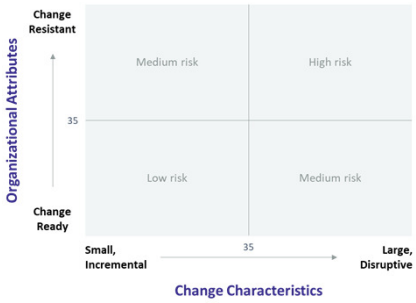
© Prosci. All Rights Reserved.

Prosci 38

38

Risk Assessment

1. Complete the **Risk Assessment**.
2. **Plot your score** on the 2x2 Risk Grid.
3. Which risk factors do you need to address?



Connecting Five Plans to ADKAR

© Prosci. All Rights Reserved.

Tenet 4: Change Management

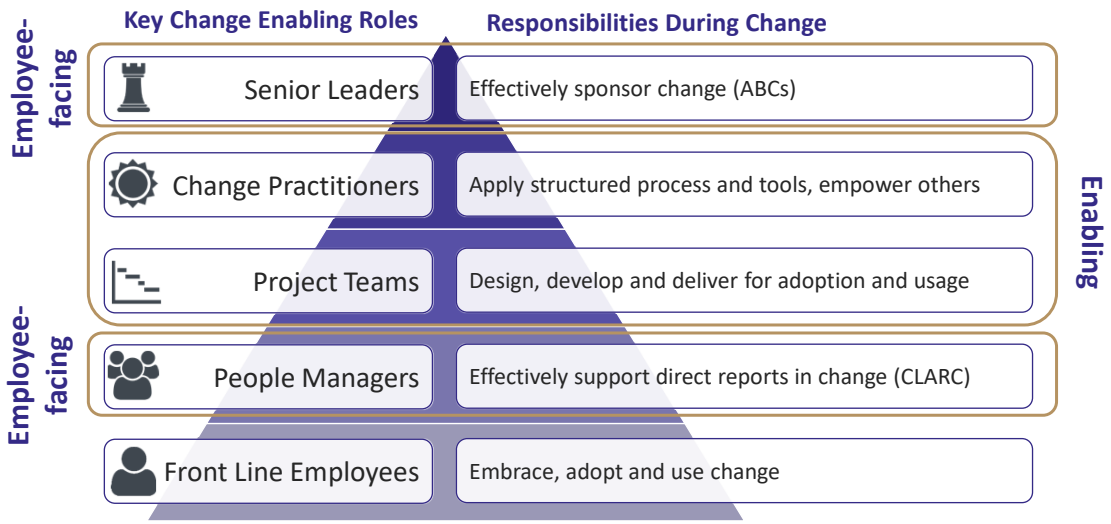
ADKAR Individual change	PCT Project health	Top 7 Success Contributors
3-Phase CM Process	Roles Who does what	Resistance Proactive/Reactive

© Prosci. All Rights Reserved.

Prosci 41

41

Key Roles in Change Management

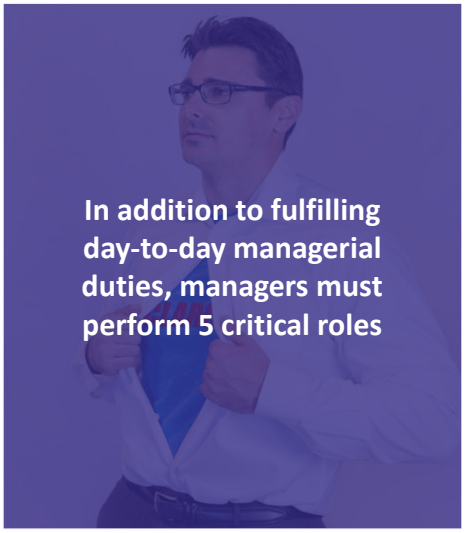


© Prosci. All Rights Reserved.

Prosci 42

42

Managers Fulfill Many Roles During Change



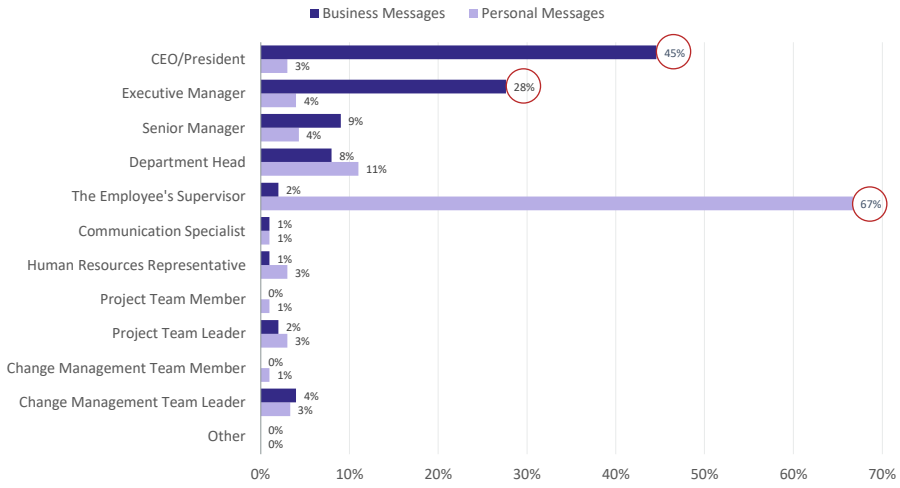
- **Communicator**
- **Liaison**
- **Advocate**
- **Resistance Manager**
- **Coach**

© Prosci. All Rights Reserved.

Factors that influence change communication success (based on simulation exercise)

- Check what other person understood, how your message is received
- To have access to the stakeholder to validate their viewpoint, expectations etc
- Clear communication – shared language
- Describe big picture and building blocks
- Define the beginning
- 2-way communication, possibility to listen in
- Visualizing
- Planning the communication
- Repeating key messages 5-7 times
- Knowing who you commmunicate to

Preferred Senders of Change Messages



Copyright © 2018 Prosci Inc. Best Practices in Change Management – 2018 Edition

© Prosci. All Rights Reserved.

Prosci 45

45

Tenet 4: Change Management

ADKAR
Individual change

PCT
Project health

Top 7
Success Contributors

3-Phase
CM Process

Roles
Who does what

Resistance
Proactive/Reactive

© Prosci. All Rights Reserved.

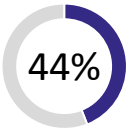
Prosci 46

46

Research Findings

Top reasons for **employee** resistance

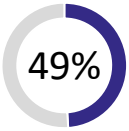
1. Lack of awareness of why a change is needed
2. Change-specific resistance
3. Change saturation
4. Fear
5. Lack of support from management or leadership



Reported that over half of the employee resistance they experienced was avoidable

Top reasons for **manager** resistance

1. Organizational culture
2. Lack of awareness and knowledge about the change
3. Lack of buy-in
4. Misalignment of project goals and personal incentives
5. Lack of confidence in their ability to manage the people side of change



Reported that over half of the manager resistance they experienced was avoidable

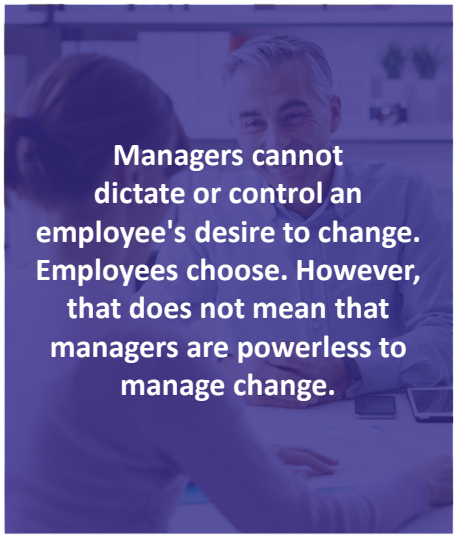
Copyright © 2020 Prosci Inc. *Best Practices in Change Management*

© Prosci. All Rights Reserved.

Prosci 47

47

Hope-to-Fear Spectrum



The enablers or elements that may create a desire to change include:

- Hope in future state
- Trust and respect for leadership
- Incentive or compensation
- Ownership for the future state
- Acquisition of power or position
- Career advancement
- Affiliation and a sense of belonging
- Enhanced job security
- Imminent negative consequences
- Discontent with the current state
- Fear of job loss

© Prosci. All Rights Reserved.

Prosci 48

48

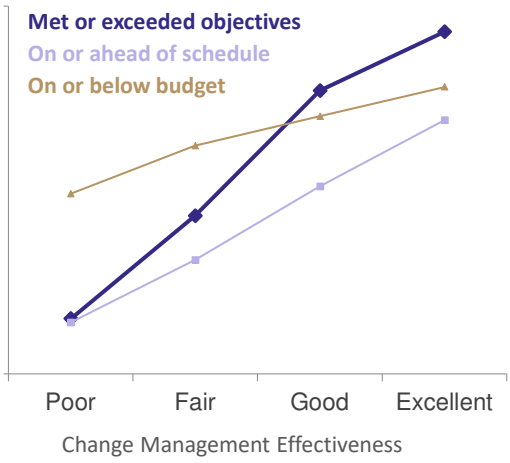
Prosci Five Tenets of Change Management

1. We change for a reason.
2. Organizational change requires individual change.
3. Organizational outcomes are the collective result of individual change.
4. Change management is an enabling framework for managing the people side of change.
5. We apply change management to realize the benefits and desired outcomes of change.

© Prosci. All Rights Reserved.

49

We Apply Change Management to…
Improve Likelihood of Change Outcomes



- Improve project results and outcomes
- Drive benefit realization and financial return
- Minimize risks
- Reduce “re” costs

© Prosci. All Rights Reserved.

50

We Apply Change Management to…

Drive People-Side Outcome Variables

Speed of Adoption

How **quickly** are people up and running on the new systems, processes and job roles?

Ultimate Utilization

How **many** employees (of the total population) are demonstrating "buy-in" and are using the new solution?

Proficiency

How **well** are individuals performing compared to the level expected in the design of the change?

© Prosci. All Rights Reserved.

Prosci 51

51